

Risk Management

Risk is an uncertain event or condition that if it occurs, has a positive or negative effect on a project objectives.

(Keep this Risk factor in mind)
→ If not talked about it, System not upgraded. System improve b/c of it.

- Risk management plan is a document that a project manager prepares to foresee risks, estimate impacts, & define response to risks.

(2).

Reactive Risk Management Strategies. (In case)
(PM think its already a risk, what the strategies to follow)

Reactive risk management tries to reduce the damage of potential threats & speed an organizations recovery from them, but assumes that those threats will happen eventually.

Proactive Risk Management Strategy. identifies threats & aims to prevent those events from ever happening in the first place.
(Identify earlier to avoid occurrence)

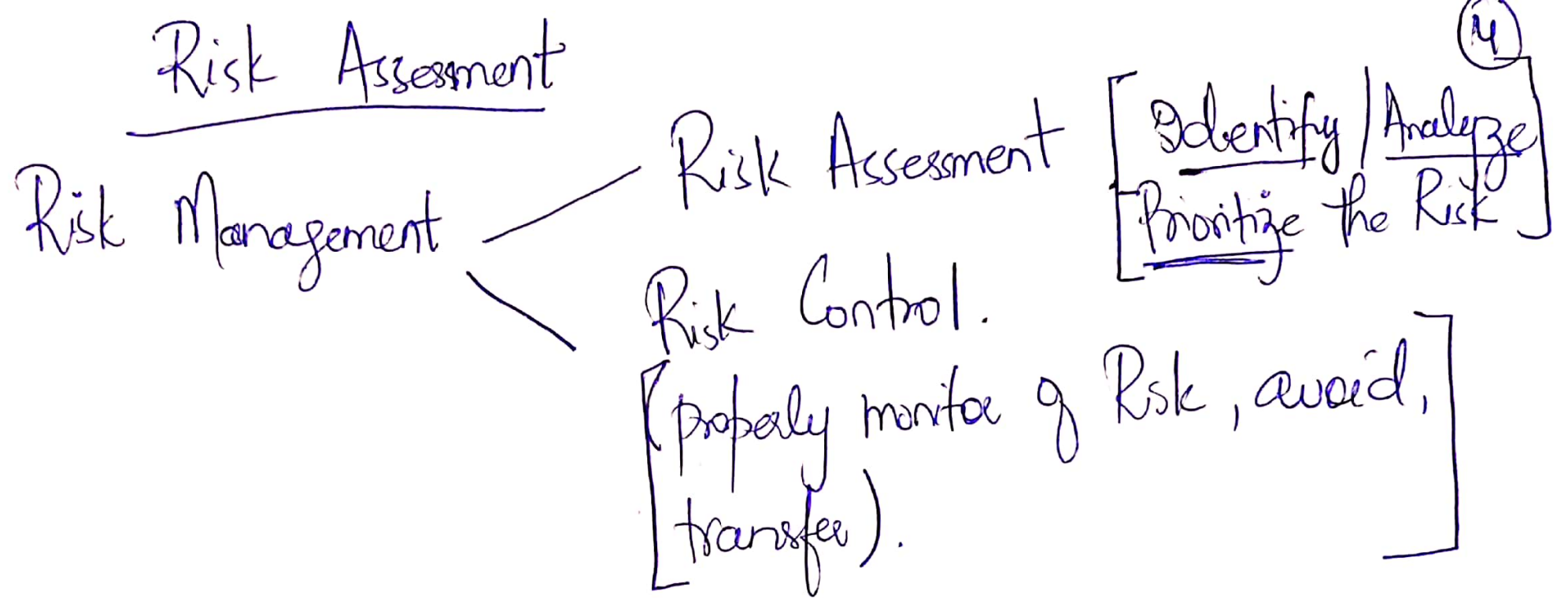
Types of Risks

③.

Business Risk :- Building a ~~project~~ product that no one wants or loosing budgetary commitments.

Technical Risk :- Concerned with quality, design, implementation, interface, maintenance problems.

Project Risk :- Concerned with schedule, cost, resources customer related issues.



~~Risk~~ Control or identify the risk occur frequently, damage, ~~it~~ a/c to scenario set the priority.

• It is a process to rank the risk in terms of their damage. (damage control).

⑤.

- Determine the average probability of occurrence value for each risk.
(Calculate probability of each risk, either daily or occasionally/rarely)
- Determine the impact for each component based on impact assessment matrix. (Severity Value)
- Risk Assessment values are determined by multiplying the scores for the Probability & Severity values together.
$$RA = Prob \times Sev$$
 (We get score to prioritize analyze the risk to control)

Risk Control & Risk Mitigation

⑥.

- For risk management, Important terms to understand.
- Risk Control is basically the specific actions to reduce a risk event's probability of happening.
e.g. Correct maintenance & inspection of the machine reduce the likelihood of mechanical failure.
- Risk Mitigation is the set of actions to reduce the impact of a Risk event.
(e.g. Actions to perform to reduce the accident impact).
Prevention

Terms

⑦.

- 1) Risk Avoidance :- How to Avoid the Risk
Actions / Plan to " "
- 2) Risk Reductions :- Plans for future, if employer left, recruitment will done before.
- 3) Risk Monitor :- Firewalls, IDS System to Monitor.
- 4) Risk Transfer :- Third party manage the risk, give services. (Transfer the Risk)